CHARGE OF THE UNICORNS

Fuelled by increasing internet penetration and smartphone use and loads of investor capital, in 2021, India saw a huge spike in the number of startups valued at over $1 billion—the unicorns. This is why they hogged the headlines

By M.G. Arun

In the times of Covid-19, if a business made the headlines, the news was all too often not good. Stories of doom and gloom are plentiful, with lockdowns and supply chain woes stifling factories and retail outlets alike. This has been true of most brick-and-mortar businesses, whether in manufacturing, retail or hospitality, especially in the MSME (micro, small and medium enterprises) sector. However, for scores of young firms in the digital space—startups, as they are often called—the pandemic has proved a huge opportunity to scale up operations, broaden portfolios and extend their reach. These include firms in edtech (education technology), mobility, food tech, fintech (financial technology) and gaming, to name a few. Their growth has been fuelled by a surge in funding from venture capitalists and private equity investors and driven by young, aggressive entrepreneurs impatient to capture market share. Many have seen their valuations soar in the past 12 months, making them 'unicorns'—business parlance for a startup that is valued at $1 billion (Rs 7,500 crore) or more. In 2021, India saw the birth of 42 new unicorns, a nearly fourfold leap from the 11 in 2020. These firms have a combined valuation of about $82 billion (Rs 6.2 lakh crore). According to InvestIndia, a government-backed investment facilitator, India now has 79 unicorns—the third-most in the world, after the US and China—with a combined valuation of $260.5 billion (Rs 19.5 lakh crore).